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China Property & Banks

Phasing out the pre-sales system - good or bad?

On 28 August, MOHURD issued a notice to phase out (**but not eliminate**) the pre-sales system (预售制度). This is not a new policy direction, as MOHURD has been advocating "sales only upon completion" (现房销售) since 2023, but the latest notice lays out more detailed guidance. **The execution looks more flexible than feared**, as pre-sales are still permitted despite the tightening in pre-sale criteria. The main downside shock is the PBOC's requirement that **banks may not release pre-sales proceeds to developers until project completion**. **Overall, is this a positive move for the housing market? It depends on the perspective.** On the ***negative*** side, developers face slower cash collection, weaker land-banking appetite, and potentially lower sales growth/ROE (partly offset by relaxed funding channels). On the back of this, primary sales volumes may further drop. On the ***positive*** side, this is directionally good for the housing market, as reduced supply may help stabilize home prices—an important precondition for a sustainable recovery. **Likely near-term losers** are **developers (especially smaller ones) from a growth perspective**, but this supports market consolidation, and is thus **positive for leading SOE developers with strong balance sheets (e.g. COLI, CRL) over time. Local governments** may also see weaker land sales revenue. **Potential beneficiaries** are: (1) **KE Holdings** (covered by Daniel Chen), as lower primary supply may boost secondary volumes; and (2) **homebuyers,** as mortgage tenors extend from 30 to 40 years (although the boost to sales may be limited). **China Property has outperformed the HSI by 5% over the past two weeks on expectations of stronger policy support, but we expect near-term pressure** as (1) developers' growth visibility is now less clear; (2) the announced policy support is more on the funding side only, which is not exciting. **However, on dips, we'd accumulate market consolidators COLI & CRL**. **Implications for banks are mixed:** tighter escrow controls and more flexible mortgage terms should support near-term asset quality and loan growth, but longer loan tenors and relief measures may increase medium-to-long-term credit uncertainty and dilute loan economics if lending rates don't reprice.

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What's announced?

On 28 August, **three property-related policies (from various government bodies) were published, showing this is a coordinated move from a high level.** The most significant one is the notice from **MOHURD** calling for a phase-out (but not elimination) of the pre-sales system. Separately, **CSRC** published a notice that relaxes financing channels for developers, while **PBOC** published another one that relaxes mortgage tenors but tightens management of pre-sales proceeds (negative to developers' cash flows).

Below we list the key polices & changes, as well as our views:

See page 20 for analyst certification and important disclosures, including non-US analyst disclosures.

MOHURD, MNR & NFRA: Notice on Optimizing the Sales System of Commodity Housing (住房城乡建设部 自然资源部 金融监管总局 关于完善商品住房销售制度的通知)

Link to full policy (in Chinese)

- **Pre-sales are still allowed, but the pre-sales criterion is tightened to "main structure topping out" (商品住房项目实行预售的，单体建筑应完成主体结构封顶):** Currently, different cities have different criteria for obtaining pre-sales permit (some only require completion of one floor, some require two-thirds completed, while some require the main structure topping out already) (Table 8). **The latest notice attempts to set a nationwide standard. However, it also provides flexibility, stating that (1) specific execution is to be determined by local government (具体条件由各地根据实际情况确定); (2) the new rule only applies to new projects that have not yet obtained a construction certificate.** We would not be surprised if certain local governments may allow some exceptions (e.g. criteria for high-quality SOE developers may be relaxed). Typically, a developer may reach the stage of "main structure topping out" 6-18 months after land acquisition (this varies across building height, positioning, design complexity etc). If this is strictly enforced consistently across China, we estimate the pre-sales timing will be delayed by 3 to 12 months.
- **For new projects, "completed-unit sales" is *prioritized (优先选择现房销售)*; for projects which have already obtained a construction certificate, "completed-unit sales" is *encouraged (鼓励实行现房销售)*:** This narrative implies pre-sales are still allowed in new projects (defined by new land plots and those which have not yet obtained a construction certificate), but those which require "completed-unit sales" will be "*prioritized*". This allows for a smoother transition and provides some degree of flexibility. However, **we see some execution ambiguity in the terms "prioritized" and "encouraged"**, and this raises more questions about all new land sales: (1) Are local governments required to set the criteria of "sales only upon completion" for every land sale? (2) Would the bidding system turn into a bidding for the extent of "completed-unit sales"?
- **All pre-sales proceeds are now required to be deposited into an escrow account, and fund supervision will only be lifted after project completion (购房资金应全部存入资金监管账户。项目具备交付条件后解除资金监管):** The policy of escrow account & regulation of pre-sales proceeds is not new per se, but currently developers are allowed to withdraw a portion of funds locked in escrow accounts based on the construction progress. The latest narrative does not mention stage-by-stage cash withdrawal, so it is unclear whether this has been eliminated, but based on PBOC's latest policy (Article 22) on how developers will not be given the funds of pre-sale proceeds till completion, **we might have to assume the worst that now developers may not get any cash proceeds from pre-sales until completion**. That said, we are not sure if there is flexibility or exceptions for high-quality SOE developers.
- **Introducing a deposit system for "completed-unit sales" (现房销售定金制):** In theory, developers are now asked (or at least "encouraged") to sell homes only after building completion, but the latest policy still provides some relief measures for developers by introducing the "deposit system", allowing developers to collect a small amount of deposit (we estimate it should be <10% of home prices) from homebuyers so that developers can still lock in some interest earlier.
- **Supporting developers to raise funds through equity & bonds (支持房地产项目开发公司通过股权、债券等多种方式开展融资):** Currently, developers are theoretically not allowed to use proceeds from equity raising & bond issuances to fund land acquisitions. It is unclear whether the latest policy now relaxes the usage of funds

to land purchases, but for now at least this seems to be the government encouraging developers to raise funds through more channels. Directionally, this implies there could be more equity raising (e.g. placement) & bond issuances among developers.

PBOC & NFRA: Notice on Optimizing Credit Management for Real Estate & Accelerating the New Real Estate Development Model 人民银行 金融监督总局《关于改革完善房地产信贷管理 推动加快构建房地产发展新模式的意见》的通知

Link to full policy (in Chinese)

1. **Extending the tenors of development loans (pre-sales: up to 3-5 years; completed-unit sales: up to 5-7 years) (预售项目贷款期限原则上不超过3年，最长不超过5年；现房销售项目原则上不超过5年，最长不超过7年) (Clause 13):** We believe this is a necessary follow-up measure in order to implement "sales only upon completion", because currently most development loans only have tenors of 3 years. Without this adjustment, developers would have no cash to repay the banks as the sales proceeds may not be collected until after 3 years (especially if the construction period is >3 years).
2. **Extending the maximum tenors of mortgages from 30 years to 40 years (个人住房贷款期限最长不超过40年) (Clause 20):** This is a milestone change, in some sense, as this 30-year mortgage policy has been in place since 1999. Although this improves homebuyers' affordability, practically speaking we believe the impact on the housing market is limited. For a mortgage size of Rmb1 million, the monthly repayment is reduced from Rmb4.2K to Rmb3.6K (15% lower). However, the total interest will go up from Rmb530K to Rmb732K. While this new policy provides more flexibility, we think a more practical move would be to lower mortgage rates or provide mortgage subsidies, but there is no mention of this in the notice.
3. **For pre-sales projects, proceeds of mortgage loans will only be released to developers after building completion (购房贷款-实行预售的，应严格在项目竣工备案后发放) (Clause 22):** This is a **key downside surprise** among all the policies announced. Currently, developers may commence pre-sales 3-6 months after land acquisition, and although pre-sales proceeds are required to be placed in an escrow account, the cash can be withdrawn batch by batch according to construction stage. The latest ruling seems to suggest that developers cannot obtain most of the cash (mortgage proceeds typically account for 50-80% of pre-sales proceeds) until building construction (which is typically >2 years after land acquisition). Thus, this delays developers' cash receipts by 1-2 years. To manage cash flows, developers may have to slow down on land-banking.

CSRC: Opinion on Capital Markets Supporting the Building of New Real Estate Development Model 证监会: 关于资本市场支持构建房地产发展新模式的意见

Link to full policy (in Chinese)

- **Supporting listed developers to raise funds through private placement in the secondary market (支持上市房地产开发企业通过向特定对象发行方式再融资):** This is not entirely clear whether the fund proceeds can be used for land purchases, but it appears that at least CSRC is relaxing the usage scope of funds raised through private placement.
- **Supporting listed developers to do M&As & make use of equity, convertible bonds & cash to fund the purchases (支持上市房地产开发企业并购重组，综合运用股份、定向可转债、现金等工具收购涉房资产，其中发行股份、定向可转债购买**

资产的，可以募集配套资金): This is directionally positive for distressed developers, although we think even if there are more M&As, SOE developers would be more inclined to acquire projects rather than listed companies. Moreover, **we doubt whether SOEs still have a big appetite for projects from distressed developers**, because (1) the higher-quality projects from distressed developers likely have been sold out or acquired already; their remaining landbank is likely of a lower quality; (2) there is still a risk of hidden debt attached to the projects acquired.

A recap of the advocate for “completed-unit sales” (现房销售)

- **Not a new policy direction:** As early as in 2005, PBOC already mentioned the consideration of eliminating the pre-sales system. Since 2023, MOHURD has also been mentioning in various policy documents that the “completed-unit sales” should be promoted and gradually rolled out (full summary in Table 5)
- **There have been many trials across China:** In 2020, Hainan became the first province to have implemented the policy (i.e., all new land sales do not allow pre-sales; units can only be sold upon completion). Since 2021, many cities have also rolled out trials of “completed-unit sales” in some land sales (summary in Table 6 and Table 5). For example, in Guangzhou, on 28 August, a land parcel that requires “sales only upon completion” was just sold (Table 7).
- **“Completed-unit sales” are on the rise naturally anyway:** Even without the government’s advocacy, organically the sales of completed units have been gaining market share, as after the liquidity crisis began in 2021, more homebuyers have been worried about the risk of the building not being completed on time. **In 2020, the proportion of completed units in primary sales was only 10%, but it rose to 32% in 2025** (Figure 1).

Phasing out the pre-sales system: Pros & Cons

Pros

- **Reducing the risk of more unfinished buildings**: This is more coming from a socio-political perspective. For completed buildings, homebuyers would have a better sense of what the actual units are like, and thus this should reduce the frequency of protests/complaints (either on quality or delivery date) against developers.
- **Lowering supply & thus inventory month**: The disruption of cash flow planning will likely discourage developers to bid for lands. This will bring down new supply and thus lower inventory months (which are still high across different city tiers). Thus, this may accelerate the stabilization of home prices.
- **Lower land prices and higher margins (potentially)**: Theoretically speaking, assuming developers need to achieve the same IRR, local governments need to reduce the land costs in order to attract developers to buy land. Moreover, theoretically a completed project should be priced at a premium over a pre-sale project under construction. Therefore, assuming all else equal (e.g. market conditions do not deteriorate), this may imply higher gross margins for developers (but not necessarily IRR). Based on our rough estimates, for a developer targeting an IRR of >10%, the current pre-sales model requires an 8–10% margin. Under the new model, achieving the same IRR would likely require an18–20% DP margin.

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Cons

- **Disruptive to developers' cash flow**: 45-50% of developers' funding sources come from pre-sales proceeds and mortgages. On a project level, the change from "pre-sales" to "sales upon completion" may delay cash proceeds by 1-2 years (see Figure 2 for a simplified project development timeline). This will force some developers to reduce land-banking and thus affect their sales scale.
- **Negative to construction activities (at least for the short term):** Developers (including SOEs with a good balance sheets) need to prioritize cash flow management. As such, the new system (if adopted widely) will likely force many to slow down land-banking. This may drag down new starts & real estate investment (REI). That said, from the case of Hainan Province which has adopted "sales upon completion" since 2020, although land sales dropped in 2021 (though this may have been mostly due to COVID), land sales have recovered quickly since then.
- **Lower land sales revenue for local governments:** As developers will likely slow down land-banking, local governments may find it harder to sell land, thus potentially hurting their fiscal revenue (land sales now account for 10-20% of total revenue). Also, local governments will likely have to provide more flexible payment terms (e.g. allowing staged payments) to attract developers to buy land, thus this may impact the cash flows of local governments as well.

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Implications for banks are mixed

(contributed by Katherine Lei, JPM China banks analyst)

- **Overall, we see a net positive near-term impact, but greater uncertainty over the medium to long term.** Banks are affected by four clauses in the documents:

    1. **On the positive side**, **Clause 22** introduces tighter scrutiny of escrow-account management, which should reduce instances of developers misusing pre-sale proceeds and, in turn, be supportive of banks' asset quality.
    2. **On the negative side**, as the sector transitions from a pre-sale model toward "sale upon completion," **construction loan tenors may lengthen** from ~3–5 years to ~5–7 years as under **Clause 13**. This could increase asset-quality uncertainty and reduce the economic value of these loans if effective yields do not reprice higher.
    3. **Mortgage-related measures are more nuanced**. Under **Clause 20**, the maximum mortgage tenor is extended from 30 years to 40 years, which could improve affordability and support near-term mortgage demand and asset quality, but may increase long-dated credit uncertainty over time.
    4. Separately, **Clause 26** allows banks to offer temporary relief to borrowers facing a short-term loss of income, with arrangements such as payment deferrals, postponement of principal repayment, or tenor extensions. While this may help to ease near-term mortgage NPL formation, it could also raise longer-term asset-quality risk if guardrails and underwriting discipline are not sufficiently robust.

- **Minsheng** has the highest developer loan exposure while **PSBC** is more exposed to mortgage loans.

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Summary of three property-related policies

Table 1: Summary of MOHURD's Notice on Optimizing the Sales System for Commodity Housing "关于完善商品住房销售制度的通知"

	Notice on Enhancing the Sales System for Commodity Housing	关于完善商品住房销售制度的通知
	Enhance the management of pre-sale system	**完善商品住房预售管理**
1	For projects obtaining a pre-sale permit, the **main structure shall be topped out**. The specific conditions shall be **determined by the local government** based on actual circumstances.	商品住房项目实行预售的，**单体建筑应完成主体结构封顶**，具体条件**由各地根据实际情况确定**。
2	**All down payments and mortgages paid by homebuyers shall be deposited into escrow account**. Supervision of the funds shall be lifted after the project has passed **completion** acceptance and supporting facilities are ready for delivery.	购房人支付的**首付款、个人住房贷款等购房资金应全部存入资金监管账户**。商品住房项目**竣工**验收、水电气热等配套设施具备交付条件后，解除资金监管。
3	For projects that are offered for pre-sale before this Notice took effect, the pre-sale conditions and supervision of pre-sale proceeds shall continue to be governed by the previous policies and regulations.	本通知施行之日前已取得建设工程规划许可证的商品住房项目，实行预售的，预售条件、预售资金监管等按原有政策规定执行。
	Promote the sale of completed commodity housing in a vigorous and orderly manner	**有力有序推行商品住房现房销售**
1	From the effective date of this Notice, for newly transferred land and projects that have not obtained a construction project planning permit, **priority shall be given to completed-unit sales**. Projects that have already obtained a construction project planning permit are encouraged to adopt completed-unit sales.	本通知施行之日起，新出让土地的商品住房项目和已出让土地未取得建设工程规划许可证的商品住房项目，**优先选择现房销售**；已取得建设工程规划许可证的商品住房项目，鼓励实行现房销售。
2	Completed-unit sales shall be subject to filing administration.	现房销售实行备案管理
3	Introduce a **deposit system for completed-unit sales**. After obtaining a building construction permit, developers using completed-unit sales may enter into a home-purchase deposit agreement with a buyer and collect a small deposit. Supervision of the deposit shall be lifted once the unit is ready for delivery.	推行**现房销售定金制**。实行现房销售的商品住房项目，在取得建筑工程施工许可证后，房地产开发企业可与购房人签订购房定金合同，依法收取少量定金。房屋具备交付条件后，解除定金监管。
	Strengthen coordination among policy measures	**加强政策措施协同**
1	Optimize land supply administration. Developers must use their own funds to acquire land. Land premium may be paid in installments in accordance with national regulations. For projects adopting completed-unit sales, relevant information on shall be publicly disclosed in the land sales announcement.	优化土地供应管理。房地产开发企业须用自有资金购地，可按国家规定分期缴纳土地出让价款。对于实行现房销售的项目，在土地出让公告中向社会公开现房销售相关信息。
2	Support real estate project development companies in raising financing through **equity, bonds** and other channels. For projects using sale upon completion or pre-sales, reasonable financing needs shall be met according to market-oriented principles.	支持房地产项目开发公司通过**股权、债券**等多种方式开展融资。对实行现房销售和预售的项目，按照市场化原则满足项目合理融资需求。
3	Commodity housing development shall use a project-company system.	商品住房开发建设实行项目开发公司制。
4	Promote **"property certificate upon delivery."** Promote the simultaneous issuance of property ownership certificates to buyers upon handover of commodity housing.	推行**"交房即交证"**。推动商品住房交付时购房人同步取得不动产权证书。

For the original full article in simplified Chinese, please refer here
Source: The Securities Times, MOHURD, Ministry of Natural Resources, NFRA (National Financial Regulatory Administration)

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Table 2: Key guidelines under PBOC latest guidelines on property credit management

Article	Guideline	
5	Financial institutions shall not issue loans for the payment of land premium and related taxes and fees.	银行业金融机构不得发放用于缴交土地出让价款及相关税费的贷款
13	The term of a development loan shall correspond to the project's construction and sales cycle. For **pre-sale projects**, the loan term should **generally not >3 years** and may not >5 years; For **projects only available for sale upon completion**, it should **generally not >5 years** and may not >7 years. Loans for commercial real estate development should generally have a term of no more than 7 years. The first principal repayment date should generally be after the project's completion filing.	房地产开发贷款期限应与项目建设、销售周期相匹配。**预售项目贷款期限原则上不超过3年**，最长不超过5年；**现房销售项目贷款期限原则上不超过5年**，最长不超过7年。贷款用于商业地产开发的，期限原则上不超过7年。首次还本日期原则上应在项目竣工备案后。
20	**The maximum term of an individual housing loan is 40 years**	**个人住房贷款期限最长不超过40年**
22	For newly built housing sold as completed units, mortgages shall be disbursed after the sales filing; **for housing sold through pre-sale, such mortgages shall be disbursed strictly after the project's completion filing**.	所购新建住房实行现房销售的，个人住房贷款应在销售备案后发放；**实行预售的，应严格在项目竣工备案后发放**。
24	For outstanding floating-rate mortgages, when the mortgage rate deviates from the nationwide rate on newly issued mortgages by a specified margin, the borrower may negotiate with the banking financial institution to amend the contractual interest rate or apply for a new mortgage to replace the existing loan.	对于已发放的浮动利率个人住房贷款，当贷款利率水平与全国新发放个人住房贷款利率偏离达到一定幅度时，借款人可以与银行业金融机构协商变更合同约定的利率水平，或申请新发放浮动利率个人住房贷款置换存量贷款。

For the full guidelines, please refer to Appendix - Full guidelines on property credit management issued by PBOC
Source: PBOC

Table 3: Summary of Opinions on Capital Market Support for Building a New Model of Real Estate Development by CSRC (“关于资本市场支持构建房地产发展新模式的意见”) (part 1)

	Support reasonable financing by developers	支持房地产开发企业合理融资
1	Support listed developers in **financing through private placements**. Proceeds shall be invested in market-oriented real estate projects that comply with policy requirements.	支持上市房地产开发企业**通过向特定对象发行方式再融资**，募集资金应当投向符合政策要求的市场化房地产项目。
2	Support M&A and restructurings by listed developers. Support listed developers in acquiring real estate-related assets through a combination of **shares, privately placed convertible bonds, cash and other instruments**. Where shares or privately placed CBs are issued to purchase assets, supporting funds may also be used for real estate projects and for payment of the consideration for the restructuring transaction.	支持上市房地产开发企业并购重组。支持上市房地产开发企业综合**运用股份、定向可转债、现金等工具**收购涉房资产，其中发行股份、定向可转债购买资产的，可以募集配套资金，并用于符合政策要求的房地产项目和支付本次重组交易对价等。
3	Focus on meeting the reasonable bond-financing needs of developers under all forms of ownership, including both SOEs and POEs; and support the issuance of corporate bonds whose proceeds are used primarily for real estate projects that comply with policy requirements.	着力满足国有、民营等各类所有制房地产开发企业合理债券融资需求，支持房地产开发企业发行公司债券募集资金主要用于符合政策要求的房地产项目。
	Support developers in issuing commercial mortgage-backed securities (CMBS) and real estate ABS backed by soundly operated real estate projects with strong cash returns. Encourage professional institutions, in accordance with market-oriented and law-based principles, to support bond financing by developers through guarantees, credit protection instruments and other means.	**支持房地产开发企业依托经营稳健、现金收益良好的不动产项目发行商业地产抵押贷款支持证券（CMBS）、不动产ABS。**鼓励专业机构按照市场化、法治化原则，通过担保、创设信用保护工具等方式，支持房地产开发企业发行债券融资。
4	Support the issuance of REITs **backed by eligible rental housing, urban renewal and other projects**, or the inclusion of such projects as expansion assets in listed REITs. Study and optimize regulatory requirements for original owners of rental housing assets and project net cash-flow distribution ratios, and support development of the rental housing system.	**支持依托符合条件的租赁住房、城市更新等项目发行REITs，或者作为扩募资产装入已上市REITs。**研究优化租赁住房原始权益人监管和项目净现金流分派率要求，支持租赁住房体系建设。
5	Support eligible private fund managers in establishing private real estate investment funds, introducing institutional capital and investing in real estate projects that comply with policy requirements.	支持符合规定的私募基金管理人设立不动产私募投资基金，引入机构资金，投向符合政策要求的不动产项目。

Source: CSRC (China Securities Regulatory Commission)

Table 4: Summary of Opinions on Capital Market Support for Building a New Model of Real Estate Development by CSRC (“关于资本市场支持构建房地产发展新模式的意见”) (part 2)

	Optimize regulation of real estate securities issuers	**优化房地产证券发行人的监管工作**
6	Optimize market-access regulation for securities issuance. Strictly control access for securities issuance by real estate development enterprises and emphasize the project-based nature of financing.	优化证券发行准入监管。严把房地产开发企业证券发行入口关，突出“基于项目”融资特点。
7	Optimize information-disclosure regulation. Based on investor needs and reflecting the characteristics of equity and debt financing, optimize disclosure by developers and improve its relevance and effectiveness.	优化信息披露监管。以投资者需求为导向，聚焦股权债权融资特点，优化房地产开发企业信息披露内容，提高信息披露针对性和有效性。
8	Strengthen supervision of funds raised. Apply strict ongoing and look-through supervision.	加强募集资金监管。严格募集资金持续监管和穿透式监管。
9	Prevent and severely punish fraudulent issuance, falsified information disclosure, misappropriation of proceeds and other violations by real estate securities issuers; intensify penalties for systematic and organized fraud; strengthen enforcement against third parties that assist fraud and against securities violations by sponsors, underwriters, accounting firms and other intermediaries.	严防严打房地产证券发行人欺诈发行、信息披露造假、挪用募集资金等违法违规行为，加大对系统性、团伙性造假的惩戒力度，强化对第三方配合造假以及保荐人、承销机构、会计师事务所等中介机构证券违法违规行为的打击力度。
	Focus on preventing and resolving capital-market risks in the real estate sector	**着力防范化解房地产领域涉资本市场风险**
10	Establish and improve mechanisms for forward-looking research and assessment of capital-market risks in the real estate sector; strengthen risk monitoring and regulatory coordination.	建立健全房地产领域涉资本市场风险预研预判工作机制，进一步加强房地产风险监测和监管联动。
11	Strictly implement the delisting system, conduct orderly delisting supervision of listed developers. For real estate development enterprises that default on bonds, steadily advance the resolution and clearance of defaulted bonds according to market-oriented and law-based principles.	严格执行退市制度，稳妥有序开展上市房地产开发企业退市监管。对于债券违约的房地产开发企业，稳步推动违约债券处置出清。
12	Strengthen policy coordination, actively cooperate with industry authorities and local governments, establish joint risk prevention and control mechanisms with local governments.	加强政策解读，明确落实要求，稳定市场预期。强化政策协同，积极配合行业主管部门和地方政府工作，与地方政府建立风险联防联控机制。

Source: CSRC (China Securities Regulatory Commission)

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"Sales only upon completion" mentions/ policies

Table 5: Mentions / adoption of "sales only upon completion" at national level / major events

Date	Entity	Policy details
2005	PBOC	Consider lifting the pre-sale system
8-Mar-20	Hainan Province	Implement the sales of completed properties for lands sold since March 8, 2020
17-Jan-23	MOHURD	Promote the sales of completed properties if possible 有条件的可以进行现房销售
7-Mar-24	China's former central bank governor Yi Gang	Suggested to gradually phase out the pre-sale system and shift to selling completed properties only
23-Aug-24	MOHURD	Effectively and orderly promote the sale of completed properties 有力有序推进现房销售
25-Dec-24	MOHURD	Vigorously promote the reform of the commercial housing sales system, effectively and orderly implement the sale of completed properties 大力推进商品住房销售制度改革，有力有序推行现房销售
23-Dec-25	MOHURD	Promote the sales of completed units, enabling a "what you see is what you get" experience and fundamentally preventing delivery risks. 推进现房销售制，实现所见即所得，从根本上防范交付风险

Source: Yicai, Sino, MOHURD

Table 6: Mentions / adoption of "sales upon completion" at local level

Province/City		Date	Policy mentions
Nanning	南宁	Jan-10	Selected as the pilot city for abolishing the pre-sale system of commodity housing (not enacted)
Shandong	山东	Aug-12	Eligible projects will be selected to carry out pilot sales of completed units
Guangzhou	广东	May-17	Encourage the implementation of the sales of completed units
Hainan	海南	Mar-20	Required new land parcels to sell completed units only
Shandong	山东	Jun-21	Proposed to gradually raise the pre-sale requirements, and encouraged eligible projects to implement sales of completed units
Hefei	合肥	Dec-21	Vowed to improve the pre-sale system; and to timely conduct pilot sales of completed units
Hefei	合肥	Aug-22	Emphasized to strengthen the supervision of pre-sale funds for commodity housing, and encouraged the implementation of pilot sales of completed units
Zhengzhou	郑州	Apr-22	Encourage capable developers to sell completed units
Gansu	甘肃	Aug-22	Encourage the implementation of sales of completed units
Shandong	山东	Jan-23	Propose to gradually raise the pre-sale requirements, and encourage capable areas to take the lead in conducting pilot projects for the sale of completed units
Henan	河南	Feb-23	Stated to (1) further standardize the supervision of pre-sale proceeds, (2) gradually raise the pre-sale requirements, and (3) explore pre-sale system reform and completed home sales, with Zhengzhou and Kaifeng as pilot cities.
Anhui	安徽	Feb-23	Proposed to conduct pilot projects for the sale of completed homes according to local conditions, and promote the transformation towards a new development model.
Sichuan	四川	Feb-23	Proposed to support cities with the necessary conditions to conduct pilot projects for the sale of completed homes, and promote a smooth transition to a new development model.
Xinyang	信阳	May-25	Required new land parcels in core area to sell completed units only
Jingmen	荆门	Jan-26	Required new land parcels to sell completed units only
Nansha (Guangzhou)	广州南沙	Jun-26	Explore the gradual abolition of the pre-sale system.

Source: CREIS, Sina Finance

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Real life examples

Table 7: Examples of land parcels requiring 100% of GFA to be sold only upon completion

Date	City	District	Buyer	Site area	GFA (in sqm)	Land price (Rmb mn)	Premium
24-Dec-21	**Beijing**	Chaoyang	Gezhouba Group	12,534	40,108	1,140	0%
8-Oct-24	**Shenzhen**	Bao'an	Shenzhen Metro	181,552	289,854	6,665	0%
10-Dec-25	**Shenzhen**	Futian	China Railway Property	4,994	18,550	7,920	65%
28-Aug-26	**Guangzhou**	Nansha	Nansha Dev. and Construction	122,192	238,977	1,907	0%

Source: CREIS, CRIC, Takungpao, Sina Finance

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Current pre-sale system in major cities

Table 8: Current construction progress requirements for pre-sale units

City	Current construction progress requirements for pre-sale units	
Beijing	For non-residential buildings & residential buildings with an average unit GFA >140 sqm: - 7 floors or fewer: main structure topped out - 8 floors or more: >50% completed (and no fewer than 7 floors)	商业、办公等非住宅楼栋，以及套均建筑面积大于140平方米的住宅楼栋： 地上规划层数7层(含)以下：主体结构封顶； 8层(含)以上的：施工进度应达到地上规划层数1/2以上(且不低于7层)。
Shanghai	The main structure has been topped out	完成主体结构封顶并通过验收
Guangzhou	- 7 floors or fewer: main structure topped out - More than 7 floors: complete two-thirds of the main-structure	7层及以下：主体结构封顶； 7层以上：已完成三分之二结构工程
Shenzhen	- 7 floors or fewer: main structure topped out - More than 7 floors: complete two-thirds of the above-ground floors	7层及以下：主体封顶 7层以上：完成地上规划层数的三分之二以上
Hangzhou	- 10 floors or fewer: main structure topped out - 11 floors or more: complete 50% of the main structure (and no fewer than 10 floors) - Super-high-rise buildings >100 meters: complete one-third of the structure, and no less than 50 meters	10层以下：主体结构封顶。 11层及以上：主体结构完成二分之一以上，且不少于10层。 超高层（100米以上）：主体结构完成三分之一以上，且高度不低于50米。
Chengdu	- With a basement: reach ground level - Without a basement: complete the first above-ground floor	有地下室的项目达到±0；无地下室的项目完成地上1层

Source: CREIS, government websites

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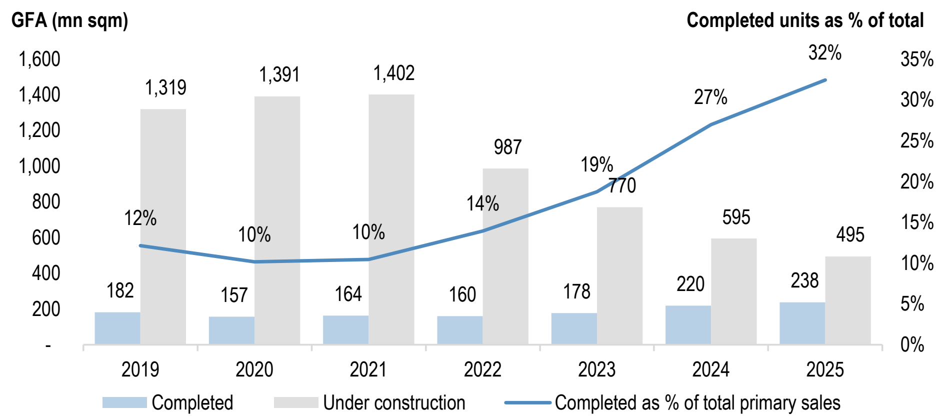
Completed units' contribution to primary sales

Figure 1: Primary sales breakdown by construction status



Source: NBS, CEIC

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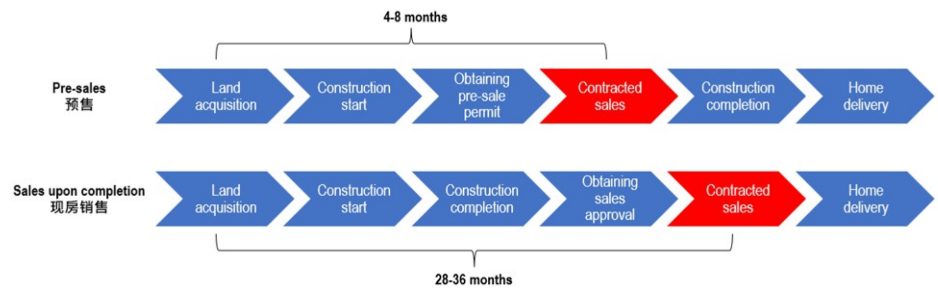
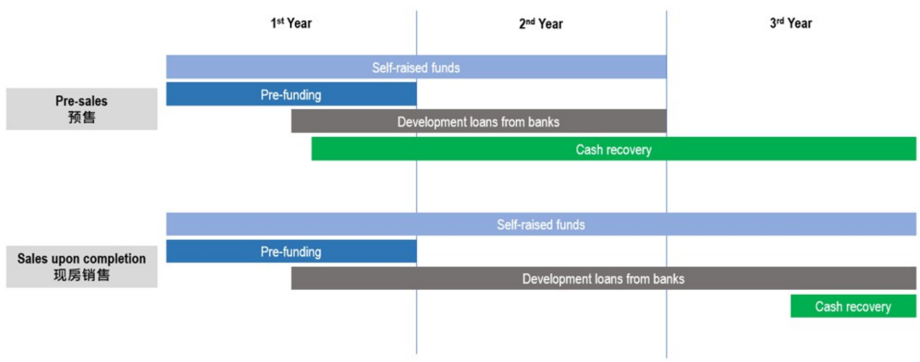
Pre-sales (预售) vs. sales upon completion (现房销售)

Figure 2: Simplified illustration of project development timeline (pre-sales vs. sales upon completion)



Source: CREIS, J.P. Morgan

Figure 3: Simplified illustration of funding source timeline over a 3-year construction period (pre-sales vs. sales upon completion)



Source: CREIS, J.P. Morgan

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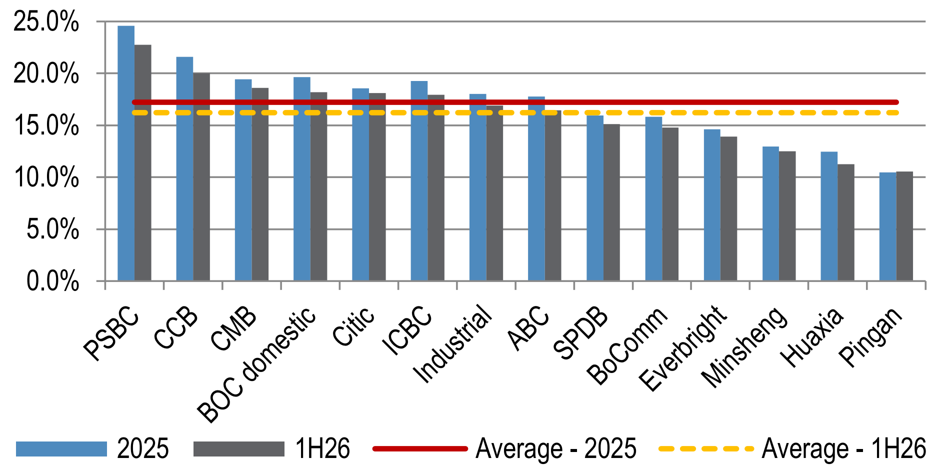
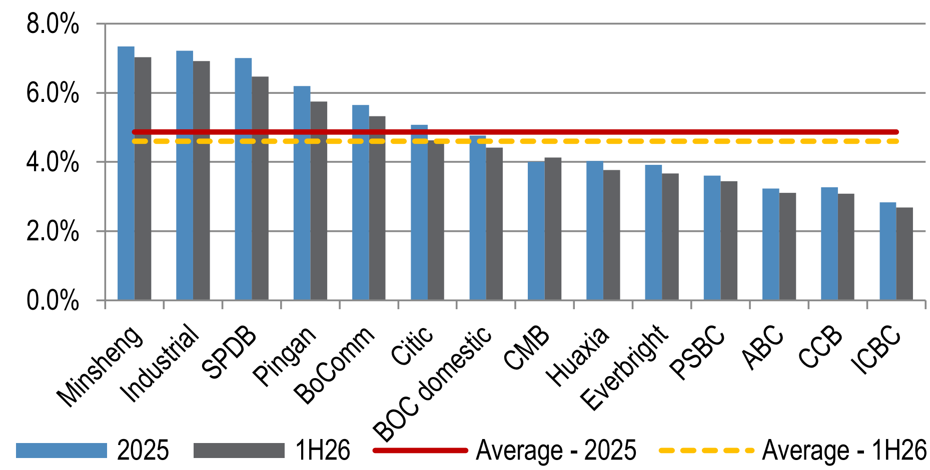
Implications for banks

Figure 4: Mortgage loans as % of total loans by bank



Source: Company reports.

Figure 5: Developer loans as % of total loans by bank



Source: Company reports.

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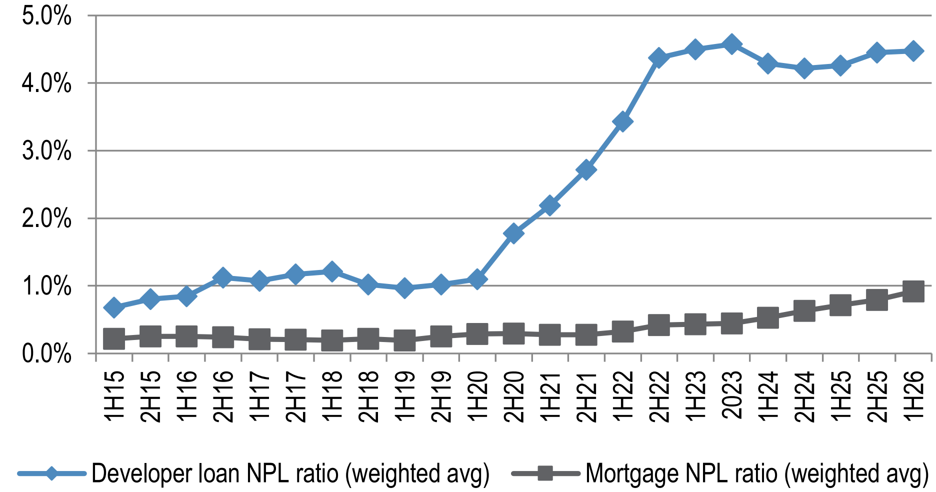
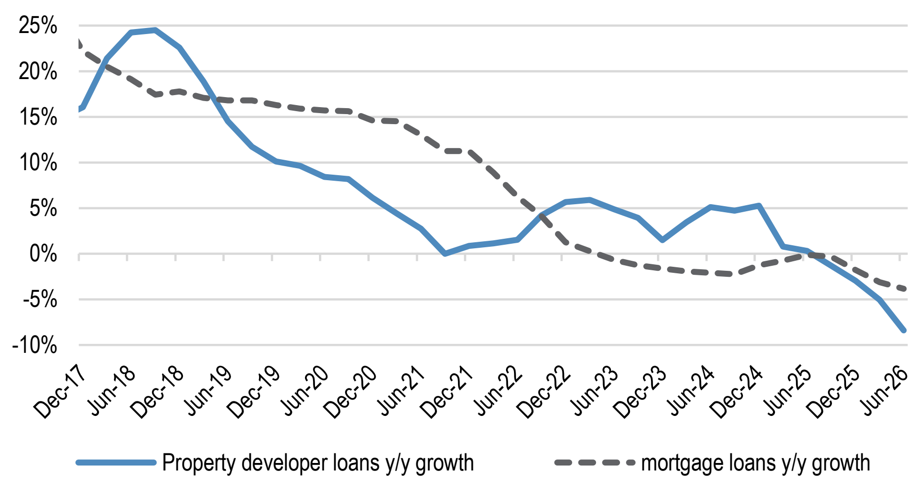
Figure 6: Weighted average mortgage NPL ratio increased to 0.92% at 1H26, while weighted average developer NPL ratio was 4.48%



Source: Company reports.
Note: weighted average for banks in our coverage.

Figure 7: System mortgage loans contracted by 4% y/y in 1H26, while developer loans contracted by 8% y/y



Source: PBOC, CEIC.

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Valuation Summary

Table 9: China Property – Valuation summary

Company	Stock Code	JPM Rating	JPM Price Target	Last Close (HK$)	Mkt Cap US$B	ADV US$M	P/E 1FY (x)	P/E 2FY (x)	Yield 1FY (%)	P/B 1FY (x)	Share price return 5D	1M	YTD	vs. peak
Mainland China Developers														
China Resources Land	1109.HK	OW	**44.00**	33.18	30.2	96.2	9.5	9.4	3.9%	0.7	-5%	0%	28%	-14%
China Overseas Land	0688.HK	OW	**19.50**	13.82	19.3	47.9	10.9	9.8	3.4%	0.3	0%	6%	18%	-38%
China Jinmao	0817.HK	OW	**2.05**	1.57	2.7	9.8	24.4	19.3	2.2%	0.5	4%	19%	31%	-67%
C&D International	1908.HK	NC	**-**	15.46	4.6	11.1	8.6	7.9	5.8%	0.8	-3%	6%	6%	-26%
Greentown China	3900.HK	NC	**-**	7.60	2.5	9.9	53.8	25.1	1.2%	0.5	-3%	7%	-9%	-51%
Yuexiu Property	123.HK	NC	**-**	3.78	1.9	4.0	32.0	15.6	2.3%	0.2	1%	6%	-4%	-65%
SOEs							**13.0**	**10.7**	**3.6%**	**0.5**	**-2%**	**4%**	**21%**	**-28%**
Longfor	0960.HK	OW	**9.00**	6.79	6.1	16.1	-	-	-	0.3	-2%	0%	-21%	-84%
Seazen Group	1030.HK	N	**1.40**	1.46	1.3	4.0	-	-	-	0.2	6%	6%	-27%	-85%
Private							**-**	**-**	**-**	**0.2**	**0%**	**1%**	**-22%**	**-84%**
China Vanke - H	2202.HK	UW	**1.60**	2.49	5.3	6.9	-	-	-	0.3	3%	5%	-23%	-92%
Country Garden	2007.HK	UW	**0.10**	0.20	1.2	10.4	-	-	-	-	8%	16%	-52%	-99%
Sunac China	1918.HK	UW	**0.30**	0.68	1.7	17.7	-	-	-	0.2	25%	32%	-47%	-98%
Distressed							**-**	**-**	**-**	**0.2**	**8%**	**12%**	**-33%**	**-94%**
Mainland China Developers (Overall)							**10.4**	**8.5**	**2.9%**	**0.5**	**-1%**	**4%**	**11%**	**-41%**
Mainland China Property Management & Services														
China Resources Mixc	1209.HK	OW	**55.00**	40.42	11.8	25.5	18.0	16.3	5.5%	5.1	-1%	5%	-3%	-19%
China Overseas PH	2669.HK	UW	**2.90**	3.54	1.5	3.7	7.7	7.8	6.0%	1.5	-1%	3%	-19%	-64%
Poly Property Services	6049.HK	OW	**41.50**	28.24	2.0	2.9	8.3	7.8	6.1%	1.2	0%	1%	-6%	-64%
Greentown Service	2869.HK	OW	**5.50**	4.31	1.7	1.9	10.9	10.2	6.6%	1.4	2%	3%	-2%	-61%
Backed by SOE developers							**15.3**	**13.9**	**5.7%**	**3.9**	**-1%**	**4%**	**-4%**	**-33%**
Country Garden Services	6098.HK	N	**5.40**	5.69	2.4	5.0	6.4	6.4	9.4%	0.5	4%	5%	5%	-91%
A-Living	3319.HK	UW	**1.50**	1.85	0.3	0.3	3.0	3.4	7.3%	0.2	-9%	3%	-17%	-96%
Sunac Services	1516.HK	UW	**0.70**	0.84	0.3	0.7	4.6	5.5	6.4%	0.4	-5%	3%	-40%	-96%
Backed by POE developers							**5.8**	**6.0**	**8.8%**	**0.4**	**1%**	**4%**	**-2%**	**-92%**
Mainland China Property Management & Services							**13.8**	**12.7**	**6.2%**	**3.4**	**0%**	**4%**	**-4%**	**-42%**
KE Holdings	2423.HK	OW	**52.00**	47.48	20.9	66.7	18.5	15.3	0.0%	1.9	5%	13%	17%	-33%
Mainland China Property Agent							**18.5**	**15.3**	**0.0%**	**1.9**	**5%**	**13%**	**17%**	**-33%**

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Companies marked "NC" are not under J.P. Morgan coverage; all estimates for such companies are based on consensus estimates from Bloomberg Finance L.P. Pricing as of close of August 28, 2026.

Companies Discussed in This Report (all prices in this report as of market close on 28 August 2026, unless otherwise indicated)
China Minsheng Banking - H(1988.HK/HK$3.30/N), Postal Savings Bank of China (1658)(1658.HK/HK$4.95/N)

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China Minsheng Banking - H (1988.HK, 1988 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 11, 2010. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
13-Oct-23	OW	2.65	4
19-Dec-23	OW	2.59	3.7
05-Mar-24	OW	2.77	4
15-Apr-24	OW	2.73	3.65
02-Aug-24	N	2.77	3
16-Oct-24	N	3.22	3.2
08-Jan-25	N	3.44	3.1
13-Mar-25	N	3.80	3.4
18-Apr-25	N	3.68	3.55
09-Jun-25	N	4.14	3.9
19-Aug-25	N	4.57	4.65
24-Oct-25	N	4.28	4.8
19-Jan-26	OW	3.76	4.45
19-Mar-26	OW	3.92	4.4
02-Apr-26	N	3.67	4
22-Apr-26	N	3.71	3.9
11-Jul-26	N	3.25	3.65

China Overseas Land & Investment (0688) (0688.HK, 688 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 13, 2003. All share prices are as of market close on the previous business day.

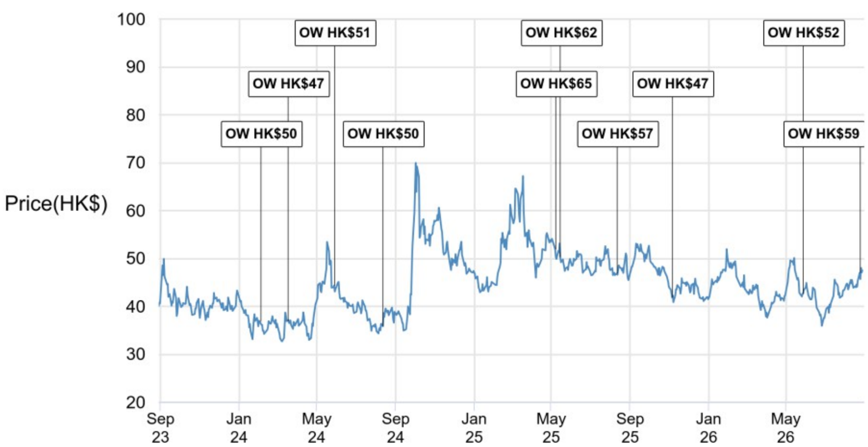
Date	Rating	Price (HK$)	Price Target (HK$)
18-Mar-24	OW	10.98	15
14-Mar-25	OW	14.30	16.5
07-May-26	OW	14.97	19.5

China Resources Land (1109) (1109.HK, 1109 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 12, 2003. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
18-Mar-24	OW	25.20	35
10-Aug-24	OW	23.00	30
23-Jul-25	OW	29.20	35
07-Apr-26	OW	28.72	37
07-May-26	OW	35.34	44

KE Holdings - H (2423.HK, 2423 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 30, 2023. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
05-Feb-24	OW	36.80	50
18-Mar-24	OW	36.90	47
29-May-24	OW	44.35	51
13-Aug-24	OW	35.85	50
08-May-25	OW	51.90	65
16-May-25	OW	50.25	62
12-Aug-25	OW	46.86	57
06-Nov-25	OW	41.84	47
29-May-26	OW	42.64	52
25-Aug-26	OW	47.00	59

Postal Savings Bank of China (1658) (1658.HK, 1658 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 31, 2016. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
04-Oct-23	N	3.82	4.3
13-Oct-23	N	4.01	4.35
19-Nov-23	N	3.54	4.1
03-Jan-24	OW	3.65	4.35
07-Mar-24	OW	4.13	4.8
02-Apr-24	N	4.09	4.4
19-Apr-24	N	4.04	4.3
01-Aug-24	N	4.18	4.6
02-Oct-24	OW	4.65	5.8
08-Jan-25	OW	4.55	5.5
13-Mar-25	OW	5.05	5.7
31-Mar-25	N	4.97	5
19-Aug-25	N	5.53	5.3
24-Oct-25	N	5.70	5.7
19-Jan-26	N	5.08	5.5
11-Jul-26	N	4.67	5.1

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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